CSIS AUSTRALIA CHAIR

Australia Daily Brief

Wednesday, November 11, 2026

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RE: PNG minister defends China pivot as Taiwan exits · Pacific rejects COP31 overshoot · Australian home loans post record fall · US Coast Guard trains in Rarotonga · Veem lands Virginia-class work

ASX 200	AUD/USD	NZX 50	NZD/USD
9,153	0.6871	14,180	0.5593
+3.61%	-1.90%	+1.48%	-0.55%

IN THIS ISSUE Top Stories · Overnight · Stat · AUKUS · Pacific · New Zealand · Canberra · Markets · Upcoming · The Wire · Analysis

TODAY AT A GLANCE

1. Papua New Guinea's trade minister defended dropping Taiwan, calling China the country's biggest trading partner, as Beijing signalled it is ready to expand LNG cooperation with Port Moresby.
2. Pacific delegations rejected COP31 concessions that would permit a temporary overshoot of 1.5C, with the Marshall Islands saying relocation is not an option.
3. Australian new home lending fell by a record after the Reserve Bank's rate increases, with investor loans down 30 percent and commercial arrears climbing.

TOP STORIES

CHINA-PACIFIC

PNG trade minister defends China pivot as Taiwan shuts Port Moresby office

Papua New Guinea's International Trade and Investment Minister **Richard Maru** told the ABC's Belinda Kora in Port Moresby that cutting diplomatic relations with Taiwan and deepening cooperation with China was a good move by the Marape government, because China is PNG's biggest trading partner. Taiwan says it is closing its representative office in Port Moresby and will stop buying liquefied natural gas from PNG, following a request from the PNG government in July. The National reported Beijing is ready to increase LNG cooperation with PNG.

per ABC Pacific: "Papua New Guinea Trade Minister defends strengthening ties with China" · also The National (PNG)

TRADE-ECONOMY

Australian home loans fall by a record after the RBA's rate increases

New home lending fell across the board, with investor loans down *30 percent* and owner-occupier loans, including first home buyers, down almost 9 percent, the ABC reported. Bloomberg reported the fall in home loans was a record and followed rapid Reserve Bank rate increases; the Wall Street Journal reported the central bank has lifted rates to their highest level in 18 years. The ASX 200 closed at 9,153, up 3.61 percent, and the Australian dollar fell 1.90 percent to 0.6871.

per Bloomberg: "Australia's Home Loans Fall by Record After Rapid RBA Rate Hikes" · also ABC News

PACIFIC-DIPLOMACY

Pacific groups reject COP31 concessions allowing a 1.5C overshoot

Pacific climate groups said concessions under discussion at COP31 that would allow a temporary overshoot of 1.5C are not acceptable. The Marshall Islands warned against overshoot and said relocation is not an option, according to the PACNEWS bulletin carried by Islands Business, which also reported a Solomon Islands minister urging faster climate payouts and Samoa calling for a stronger Pacific voice on climate survival. The Moana Blue Pacific Pavilion opened at the summit this week.

per ABC Pacific: "Pacific climate groups say COP31 'overshoot' concessions are not acceptable" · also Islands Business

OVERNIGHT

TRADE-ECONOMY

China's trade surplus passes $US1 trillion in the 10 months to October · ABC News

China reached the milestone earlier than in 2025, when its surplus hit a record $US1.2 trillion. Exports jumped 35.2 percent year-on-year in October to *$US412.3 billion* and imports rose 41.6 percent to $US307.1 billion, with exports to the United States up more than 32 percent. **Xi Jinping** and **Donald Trump** meet at the APEC summit in China next week.

AU-POLITICS

AFP warns of a sharp spike in counter-terrorism cases involving minors · ABC News

Police sounded the alarm over a surge in youth terrorism cases despite the social media ban, the ABC reported. The warning lands as the government prepares mandatory artificial intelligence safety and security standards for developers.

AU-FOREIGN-POLICY

DFAT investigates the death of an Australian medic killed in Ukraine · ABC News

The Department of Foreign Affairs and Trade is investigating the death of an Australian medic killed while fighting in Ukraine, the ABC reported, with his mother describing his final moments. United States-led talks between Russia and Ukraine are under way in Abu Dhabi.

AU-DEFENSE

Austal cuts steel on Landing Craft Heavy · Australian Defence Magazine

Austal has cut steel on the Landing Craft Heavy, Australian Defence Magazine reported, the first fabrication milestone for the army's larger amphibious vessels.

AU-POLITICS

Australian state pushes to allow a mine expansion despite a court ruling · AFP

An Australian state government is moving to permit a mine expansion that a court had ruled against, AFP reported, as Australia's fossil fuel exports draw scrutiny at COP31.

STAT OF THE DAY

$US1 trillion

China's trade surplus, 10 months to October

Beijing passed the mark earlier than in 2025, with October exports up 35.2 percent, days before Xi and Trump meet at APEC in China.

ABC News

AUKUS WATCH

PILLAR 1 · AUSTRALIAN DEFENCE MAGAZINE

Veem secures United States Virginia-class submarine work

Australian manufacturer Veem has secured work on United States Virginia-class submarines, Australian Defence Magazine reported, placing an Australian supplier inside the American submarine production chain.

PACIFIC WIRE

COOK ISLANDS · COOK ISLANDS NEWS

US Coast Guard runs first in-country maritime operations training in Rarotonga

A week-long maritime operations training programme led by the United States Coast Guard opened at the Police Maritime Surveillance Centre yesterday morning, bringing together key government agencies. Cook Islands News described it as the first such programme delivered in-country.

MARSHALL ISLANDS · RNZ PACIFIC

Marshall Islands fisheries chief to lead the Parties to the Nauru Agreement

Glen Joseph, executive director of the Marshall Islands Marine Resources Authority for *21 years*, takes over as chief executive of the PNA Office on January 1, 2027, succeeding Dr Sangaa Clark. PNA fisheries ministers endorsed him in Majuro on Tuesday. He becomes the fourth PNA Office chief executive and only the second Marshallese to head a major regional organisation.

VANUATU · ABC PACIFIC

Vanuatu parliament amends the Seasonal Employment Act

John Salong, the member for Ambrym and a former finance minister, backed giving area administrators a role in approving seasonal workers during the committee stage of amendments to the Seasonal Employment Act in parliament yesterday. He declared a personal interest in labour mobility before speaking and called on the Labour Department to enforce the scheme properly.

NEW CALEDONIA · ABC PACIFIC

New Caledonian politician urges France to cut ties with Vanuatu

A New Caledonian politician has called on France to sever its ties with Vanuatu, ABC Pacific reported.

NIUE · ISLANDS BUSINESS

Niue takes an ocean conservation agenda to COP31

Niue is pressing an ocean conservation agenda at COP31, according to the November 11 PACNEWS bulletin, which also records warnings from a Green Climate Fund official that structural gaps are delaying climate action in the region despite money secured.

PAPUA NEW GUINEA · PNG POST-COURIER

Highlands liquor ban to be enforced ahead of PNG's 2027 elections

Police and Internal Security Minister **Sir John Pundari** said a liquor ban will soon be enforced across the Highlands region ahead of the 2027 national elections. He separately condemned ethnic clashes spilling into PNG's cities, saying tensions cannot be allowed to move into urban areas.

PAPUA NEW GUINEA · PNG POST-COURIER

PNG and Japan sign a five-year school textbook agreement

Papua New Guinea and Japan signed a five-year agreement to develop mathematics and science textbooks for Grades 7 to 10, addressing a longstanding shortage of curriculum-based materials in secondary schools.

FIJI · FIJIVILLAGE

RFMF to run a three-day exercise near Namuka Harbour

The Republic of Fiji Military Forces will conduct a three-day military training exercise near Namuka Harbour, Fijivillage reported.

COOK ISLANDS · COOK ISLANDS NEWS

Indigenous leaders in Rarotonga urged to unify against seabed mining

A call to oppose seabed mineral extraction was issued to Indigenous leaders gathered in Rarotonga this week, with speakers warning the minerals could fuel future weapons and warfare rather than only a green energy transition.

NEW ZEALAND

NZ-POLITICS · WSJ

New Zealand's jobless rate climbed ahead of the election

Unemployment rose in the run-up to the November 7 general election, the Wall Street Journal reported. Counting left the two major parties separated by 3,650 party votes, as this brief reported on November 9, and coalition formation remains unresolved.

TRADE-ECONOMY · RNZ

New Zealand's only David Jones store to close

The Newmarket store in Auckland is one of 19 David Jones sites to shut, receivers FTI Consulting said, with closures expected by the end of the year. The Newmarket store lost $4.4 million in 2024/25 and the parent group lost *$95.5 million* in the same year, after a $74 million loss the year before. The group entered receivership a week ago after failing to reach a deal with its major landlord.

CANBERRA POLITICS

AU-POLITICS · AP

Australia to launch an AI safety regulator after an OpenAI breach

The government will stand up an artificial intelligence safety regulator following an OpenAI breach, AP reported, alongside plans for mandatory AI safety and security standards for developers. Politico's Canberra Playbook

described the package as promises now and details later.

AU-POLITICS · ABC NEWS

Hastie, under fire from the hard right, talks leadership and faith

Andrew Hastie, the member for Canning and the Liberal frontbencher most tipped to lead the party, told the ABC his Christian faith sustains him against attacks from the hard right, including One Nation. He served 14 years in the army before entering parliament and opened the interview on what the United States midterm result means for the centre-right.

AU-POLITICS · THE AUSTRALIAN

Anthropic plan would weaken creator copyright for AI training

The Australian reported on an Anthropic plan to compromise creator copyright protections for artificial intelligence, as Canberra finalises its AI guardrails.

AU-FOREIGN-POLICY · ABC NEWS

Albanese stops in Singapore to honour Changi prisoners of war en route to COP31

Anthony Albanese made a brief stopover in Singapore on his way to COP31 to honour Australians held at the Changi prisoner of war camp during the Second World War, the ABC reported. The ABC's David Speers linked the timing of the prime minister's mandatory AI safety announcement to the same travel window.

AU-FOREIGN-POLICY · ABC NEWS

COP31 electrification target sparks a row over cutting fossil fuel use

A proposed electric power target at COP31 has triggered a dispute over how far the text should go on reducing fossil fuel use, the ABC reported. **Bowen** told the summit the world must quadruple the pace of electrification to keep 1.5C alive, according to the November 11 PACNEWS bulletin.

BUSINESS AND ECONOMY

TRADE-ECONOMY · THE AUSTRALIAN

CBA home loan arrears hit a six-year high

Some *15,000* Commonwealth Bank home loans are 90 days or more behind, the highest arrears rate in six years, as rate rises squeeze borrowers.

TRADE-ECONOMY · VANUATU DAILY POST

Vanuatu allocates VT1 billion for a new ATR aircraft

The government has set aside VT1 billion in next year's budget to buy a new ATR aircraft for Air Vanuatu, the deputy prime minister said, after two Twin Otter aircraft joined the fleet this year. This brief reported on November 10 that the government was moving to end financial support for the airline.

TRADE-ECONOMY · FINANCIAL TIMES

Robinson Energy takes 100 percent of PNG's Triceratops gas discovery

Robinson Energy secured 100 percent of PRL 68, the Triceratops gas and condensate discovery in Papua New Guinea, according to a company announcement carried on FT.com.

TRADE-ECONOMY · BLOOMBERG

Anthropic lodges an Australian prospectus, opening its IPO to retail

Anthropic has lodged a prospectus in Australia that opens its initial public offering to retail investors, Bloomberg reported.

TRADE-ECONOMY · THE AUSTRALIAN

Canva cuts 1,271 roles as companies expand AI use

Canva is cutting 1,271 jobs, which The Australian reports is the start of a broader round of Australian corporate job reductions tied to artificial intelligence adoption and a productivity slump.

UPCOMING

NOV 2026

Xi Jinping and Donald Trump meet at the APEC summit in China

Trade terms agreed there set the demand conditions for Australian resource and agricultural exports.

NOV 2026

COP31 negotiations on overshoot language and the electrification target

Pacific delegations have rejected concessions permitting a 1.5C overshoot, and the final text sets the ambition baseline for island states.

DEC 2026

David Jones completes 19 store closures, including the Newmarket store in Auckland

Staff consultation is under way and the closures remove New Zealand's only outlet of the chain.

JAN 1

Glen Joseph becomes chief executive of the Parties to the Nauru Agreement Office

Leadership of the regional fisheries body passes from Dr Sangaa Clark to the Marshall Islands' long-serving fisheries chief.

THE WIRE

PACIFIC-DIPLOMACY

DEVPOLICY BLOG

Deep sea mining and the dangers of good intentions

Benjamin Fullarton argues Australia's silence as deep-sea mining auctions approach in the Pacific echoes an old pattern the country has seen before in Bougainville.

AU-FOREIGN-POLICY

LOWY INTERPRETER

Australia talks tough on Sudan but won't confront patrons in UAE

A risk-averse approach to sanctions means Canberra is targeting only those inside Sudan responsible for atrocities, the Interpreter argues.

AU-DEFENSE

ASPI STRATEGIST

New air defences should be going north

Australia's investment in integrated air and missile defence, including new command-and-control systems and medium-range ground-based launchers, should be weighted to northern bases and infrastructure.

ASPI STRATEGIST

Test whether Australians can buy essentials when payment systems fail

Maintaining access to food, medicine and fuel during a prolonged digital disruption would give government more time and freedom to respond to a cyberattack.

ABC NEWS

Defence formally identifies eleven unknown First World War soldiers

The Department of Defence told families that the remains of eleven Australians who died in the Great War have been formally identified, announced on Remembrance Day. Defence Minister **Richard Marles** and Dr Aaron Pegram, who manages Unrecovered War Casualties for the army, featured in the ABC's report.

AU-POLITICS

POLITICO

To save Australia's economy, Albanese must share the AI gains and budget pains

Politico argues the prime minister has to distribute both the productivity gains from artificial intelligence and the fiscal costs of adjustment.

LOWY INTERPRETER

Australia has picked its national soundtrack but not its story

Official curation can elevate a song without controlling how listeners read its politics, the Interpreter argues.

PACIFIC-POLITICS

PNG POST-COURIER

Tuvalu validates a biodiversity finance policy review

Tuvalu's Ministry of Climate Change and Environment, with the UNDP Biodiversity Finance Initiative, convened a validation workshop on its biodiversity finance policy and institutional review, bringing in government agencies, civil society, the private sector and development partners.

ANALYSIS AND OPINION

NOT STATED · ASPI STRATEGIST

Institutions: the tools for keeping vital relations stable amid domestic upheaval

The authors read the United States midterm result as a reminder to anchor the relationship in institutions rather than personalities, with reference to ASEAN, the Quad and the Philippines.

Argument: Political alignments can change quickly but national interests endure, so Australia can be confident in the United States alliance regardless of domestic political change.

NOT STATED · THE DIPLOMAT

There and Back Again: A Solomon Islands Tale

The piece tracks the gap between external strategic investment and domestic service delivery in Solomon Islands.

Argument: Honiara has become a staging ground for geopolitical competition over 15 years, with more foreign money than ever, while the problems facing ordinary Solomon Islanders remain largely unchanged.

NOT STATED · THE DIPLOMAT

After Trump’s Crushing Midterm Defeat: What Now for Australia?

The piece weighs the implications of a divided Washington for Australian defence and trade planning.

Argument: The central question for Canberra is whether the midterm outcome creates greater certainty or simply replaces presidential unpredictability with political gridlock.

ON THIS DAY

1918-11-11: The Armistice ending the First World War was signed

Australians marked Remembrance Day 108 years on, and the Department of Defence announced the formal identification of eleven previously unknown Australian soldiers killed in that war.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

Washington, D.C.

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